

IN THE SENATE

SENATE BILL NO. 1421

BY STATE AFFAIRS COMMITTEE

AN ACT

RELATING TO GOLD AND SILVER; AMENDING SECTION 57-720, IDAHO CODE, TO PROVIDE FOR INVESTMENT IN PHYSICAL GOLD AND SILVER IN CERTAIN INSTANCES, TO PROVIDE FOR STORAGE OF PHYSICAL GOLD AND SILVER, AND TO PROVIDE FOR A MAXIMUM ALLOWED INVESTMENT; AMENDING SECTION 59-1312, IDAHO CODE, TO PROVIDE FOR INVESTMENT IN PHYSICAL GOLD AND SILVER IN CERTAIN INSTANCES, TO PROVIDE FOR STORAGE OF PHYSICAL GOLD AND SILVER, AND TO PROVIDE FOR A MAXIMUM ALLOWED INVESTMENT; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 57-720, Idaho Code, be, and the same is hereby amended to read as follows:

57-720. INVESTMENT AUTHORITY -- INVESTMENT POLICIES -- ANNUAL AUDIT. (1) The investment board or its investment manager(s) may, and are hereby authorized to, invest the permanent endowment funds and the earnings reserve funds of the state of Idaho and other moneys as required by law. The investment board may, with the approval of the state board of land commissioners, invest other funds that are exempt from section 67-1210, Idaho Code, provided however, that the costs of investment of such funds may be deducted by the investment board from investment proceeds.

(2) The funds invested by the investment board may be combined or pooled for investment.

(3) Earnings reserve funds shall be accounted for separately from permanent endowment funds.

(4) Prior to the annual calculation of gains and losses pursuant to section 57-724, Idaho Code, the investment board shall allocate the end of fiscal year market value between the permanent endowment funds and the earnings reserve funds. This allocation shall be made based upon the proportion that the market value of the permanent endowment funds and the market value of the earnings reserve funds bear to the combined market value of both sets of funds, at the end of the fiscal year.

(5) (a) Investments may include physical gold and silver. Except as provided in paragraph (b) of this subsection, physical gold and silver, owned directly and held under this subsection, shall be maintained securely in a depository for precious metals constructed, at a minimum, to currently accepted industry standards for secure storage and located within the geographical boundaries of this state, a state contiguous to this state, or the state of Texas. The Idaho department of finance shall ensure that the gold and silver held in a qualifying depository under this subsection is insured, independently audited, and physically segregated from other assets.

(b) Physical gold and silver, owned directly and held under this subsection, may be stored by a bank chartered under the Idaho bank act or a credit union organized under the Idaho credit union act when such facility is located within the geographical boundaries of this state and the gold and silver is stored in a class 1 vault.

(c) The maximum allowed investment in physical gold and silver shall not exceed seven and one-half percent (7.5%) of the moneys invested pursuant to this section.

~~(5)~~ (6) The investment board shall formulate investment policies governing the investment of permanent endowment funds and earnings reserve funds and the investment of other funds accepted for investment by the investment board pursuant to subsection (1) of this section. The policies shall pertain to the types, kinds or nature of investment of any of the funds, and any limitations, conditions or restrictions upon the methods, practices or procedures for investment, reinvestments, purchases, sales or exchange transactions, provided such policies shall not conflict with nor be in derogation of any Idaho constitutional provision or of the provisions of this chapter.

~~(6)~~ (7) Annually, the investment board shall cause an audit to be conducted of the investment of permanent endowment funds and earnings reserve funds, such audit to be conducted by a recognized certified public accountant. The certified public accountant conducting the audit shall not be an employee of the state. The expense of such audit shall be paid from earnings reserve funds.

~~(7)~~ (8) The state treasurer shall invest the income funds of the respective endowment funds and distribute the moneys in the income funds according to legislative appropriation.

SECTION 2. That Section 59-1312, Idaho Code, be, and the same is hereby amended to read as follows:

59-1312. SELECTION OF FUNDING AGENT(S) -- INVESTMENT OF ASSETS -- TAX EXEMPTION. (1) The board shall select the funding agent(s) and establish a medium for funding, which may be a self-administration pension trust fund or a group annuity contract, or combination thereof. The contract shall authorize the funding agent(s) to hold and, subject to the provisions of subsections (2) and (3) of this section, to invest moneys for the system and to provide the retirement benefits and death benefits for retired members granted by this chapter.

(2) The board is authorized to select investment managers registered with the Securities and Exchange Commission to invest, reinvest and otherwise manage, subject to the restrictions outlined in subsection ~~(3)~~ (4) of this section, such portions of the assets of the fund as are assigned by the board and are held by a funding agent(s) designated by the board.

(3) (a) Investments may include physical gold and silver. Except as provided in paragraph (b) of this subsection, physical gold and silver, owned directly and held under this subsection, shall be maintained securely in a depository for precious metals constructed, at a minimum, to currently accepted industry standards for secure storage and located within the geographical boundaries of this state, a state contiguous to this state, or the state of Texas. The Idaho department of finance shall

1 ensure that the gold and silver held in a qualifying depository under
2 this subsection is insured, independently audited, and physically seg-
3 regated from other assets.

4 (b) Physical gold and silver, owned directly and held under this sub-
5 section, may be stored by a bank chartered under the Idaho bank act or a
6 credit union organized under the Idaho credit union act when such facil-
7 ity is located within the geographical boundaries of this state and the
8 gold and silver is stored in a class 1 vault.

9 (c) The maximum allowed investment in physical gold and silver shall
10 not exceed seven and one-half percent (7.5%) of the moneys invested pur-
11 suant to this section.

12 ~~(3)~~ (4) The funding agent(s) and investment managers, in acquiring, in-
13 vesting, reinvesting, exchanging, retaining, selling and managing the mon-
14 eys and properties of the system, shall be governed by the Uniform Prudent
15 Investor Act, chapter 5, title 68, Idaho Code; provided, however, that the
16 board is hereby authorized and empowered, in its sole discretion, to limit,
17 control and designate the types, kinds and amounts of such investments. The
18 funding agent(s) will not be required to segregate moneys applicable to in-
19 dividual employees or employers, but shall only be responsible for the ag-
20 gregate of such moneys as are received by it.

21 ~~(4)~~ (5) All contributions paid to the funding agent(s) shall be con-
22 strued as being exempt from premium taxes payable pursuant to section
23 41-402, Idaho Code.

24 SECTION 3. An emergency existing therefor, which emergency is hereby
25 declared to exist, this act shall be in full force and effect on and after
26 July 1, 2026.